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|-----------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|
| WCG GROUP, LLC, d/b/a Aitoh Co.,<br><br>Claimant,<br><br>v.<br><br>CHRIS PHILLIPS,<br>PAUL KNOTT,<br><br>Respondents. | <b>Jun 14<sup>th</sup>, 2024</b><br><br>Docket No. 1995(F) |
|-----------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|

1. (a) Explain whether you engaged Respondents Chris Phillips and Paul Knott in their personal capacity to ship your cargo or whether instead you engaged the company, InXpress.

**CA1. (a)** It was Aitoh's intention to engage InXpress NY, not the Respondent Chris Phillips. Since the "Account Application and Payment Authorization" was with InXpress Hudson Valley 144 (Exhibit 1), given the definition of "InXpress" and "InXpress, LLC" in the "Term and Conditions" /Exhibit 2/, it was Aitoh's intention to engage InXpress NY to handle the freight from India to US. We were aware that InXpress was not the carrier but the agent and because all the communications were with Chris Phillips, we reasonably assumed that Chris Phillips was the authorized agent of InXpress to deal with third parties. "InXpress LLC" and "InXpress Americas" were also referenced in the "Account Application" and in InXpress Invoices /Exhibit 3, 4/ and therefore, even if we do not fully understand the relationships between InXpress NY and InXpress Americas (or InXpress LLC), it is clear that Aitoh signed a contract where both companies were involved. At the time of the engagement, we didn't know who Paul Knott was and only in 2023, in order to solve this issue, Aitoh contacted him as CEO of InXpress LLC. A business relationship between Chris Phillips and Paul Knott, and therefore between the two companies, is also evident from the thread of e-mails between Aitoh and the Respondents /Exhibit 5/.

(b) What roles did Chris Phillips, Paul Knott, InXpress NY and InXpress Americas play in the transportation of your goods? Provide evidence, if any, to support your response.

**CA1. (b)** Mr. Chris Phillips (InXpress NY), acting as an Ocean Transportation Intermediary between the carrier, the shipper (Bluecat Paper, an Indian Company) and the consignee (Aitoh), arranged the shipment from India to US via ocean by means of other parties. In fact, as per InXpress "Term and Conditions" /Exhibit 2/ and "Account Application and Payment Authorization" /Exhibit 1/, InXpress NY was responsible for arranging the cargo movement, dispatching, booking, and communicating with third parties, including filing a claim with the carrier on behalf of the shippers.

Mr. Chris Phillips, acting as intermediary, after a relatively short period of time that was needed for the parties involved in the shipment to evaluate the damages and then after a much longer period of time during which time Aitoh begged several times for an update, eventually on April 15th, 2021, initiated the process with the Carrier to file the claim or at least this was what he led us to understand. It was not Aitoh stating that a claim was filed but a natural conjecture based on the role played through contact by Mr. Chris Phillips and confirmed by the assertion *"I talked with our US agent and have the attached claim form. We will claim a total loss, if you can just fill out the product info we will do the rest."* /Exhibit 6/. The claim form /Exhibit 7/ mentioned in Chris Phillips' e-mail, is the form used by ExFreight Zeta Inc. to file a claim with the Carrier (in this case Ocean Network Express) on behalf of the Claimant (in this case Aitoh).

Chris Phillips didn't provide Aitoh with any information that could have been needed for us to fill out the claim form (besides the freight contents). We didn't file the claim, as Chris Phillips communicated multiple times that he was doing it and also because we believed that the communication with the Carrier needed to be handled through InXpress as per "Term and Conditions" and "Account Application and Payment Authorization" /Exhibit 1, 2/

After that (April 2021), while still in contact with Mr. Chris Phillips working on other shipments, we never got an update on the status of the claim that at that time we assumed was successfully filed. Any communication between Aitoh and Mr. Chris Phillips, stopped in January 2022.

We do not know what role was played by InXpress Americas in the process, probably none until Aitoh contacted the CEO of InXpress America, Paul Knott. /Exhibit 5/

**2. If you engaged InXpress rather than Respondents in their personal capacity, explain why you believe Respondents should be personally liable for your losses, rather than InXpress. Provide evidence supporting your response if available.**

**CA2.** Aitoh does not consider the Respondents personally liable for our losses, but, as agent/representative/owner/manager/officer of their respective companies, they were responsible for arranging the cargo movement, dispatching, booking, and communicating with third parties, including filing a claim with the carrier on our behalf.

We therefore allege here that Mr. Chris Phillips, acting as an Ocean Transportation Intermediary of InXpress, concealed facts and information needed for us to take action and directly contact the Carrier.

We would like also to remark here that the issue is not about if InXpress is liable for any goods or material damaged during shipment, the issue is the alleged violations of the Shipping Act caused by the inexplicable refusal to provide any information or update from both Mr. Chris Phillips and Mr. Paul Knott in regard to the claim that InXpress supposedly filed with the carrier on our behalf almost 3 years ago.

Note: When we first submitted to the Commission this Claim, we indicated "InXpress NY - Chris Phillips / InXpress InXpress Americas - Paul Knott" as Respondents. The Office of Secretary replied stating the Claim was not accepted because:

Proceeding caption and Section II – named respondent(s) [see page 1 of your filing]: It is unclear who the named respondent(s) are. Please clearly identify who is a respondent, list them separately, and omit non-respondents 3.

In the attempt to follow the Office recommendation, we changed the Respondents indicating the persons instead of the companies. We realize only now that we totally misunderstood the suggested correction. We apologize for that.

3. What is the total amount you are seeking as reparations and why? Provide evidence supporting how you arrived at the amount of damages you seek.

**CA3.** Based on experience, in the case of total loss of the cargo, we know that the Freight Forwarder (in this case InXpress/ExFreight) is responsible to file the claim with the Carrier on behalf of the Customer (in this case the Consignee that is Aitoh) and ask not only for the cost of the goods and the freight but also for a replacement shipment. Which we could have requested if we were confident of a favorable resolution of the claim or any communication on the status of the claim. Considering that in this occurrence other Claimants have been reimbursed for the loss, we wonder if we would have been reimbursed too if a claim was actually submitted to the Carrier.

Aitoh is asking for \$16,588.62 as if the claim with the Carrier was timely filed and approved.

- \$6,807.00 for the goods (BlueCat Paper INV #BCP/20-21/1172) /Exhibit 8/
- \$1,526.59 for the Ocean Freight (InXpress INV # 144311161UK26) that presumably include Indian Taxes and Insurance Premium /Exhibit 3/
- \$403.35 for Additional weight charges of 529 lbs (InXpress INV # 144311161UL16) /Exhibit 4/

Subtotal \$8,736.94

- \$873.69 additional 10% of the freight and goods (\$8,736.94) covered by the Insurance Premium
- \$65.00 International ACH fees for payment of BlueCat Invoice

Subtotal \$938.69

- \$6,807.00 for replacement shipment

Grand Total \$16,482.63

4. Provide a copy of the house bill of lading, master bill of lading, dock receipt and other shipping documents for the transportation of the goods, if in your possession.

**CA4.** The following are the only documents relevant to the transportation of the goods in our (Aitoh) possession; to date we have not received any other documents which should have come from Chris Phillips or InXpress.

- Bluecat Packing Slip BCP/20-21/1172: 2,381lb (1,080 kg) - 2 pallets. (Exhibit 9)
- Bluecat invoice BCP/20-21/1172: \$6,807.00 (Exhibit 8)
- InXpress INV # 144311161UK26: 1,858 lb – 16 pieces (Exhibit 3)
- InXpress INV # 144311161UL16 : 2,487 lb – 2 pieces (Exhibit 4)
- Forin Container Line Invoice FCCH/FY21/000755: 2,381lb (1,080 kg) - 2 pallets. This document date Oct 10, 2020, also includes the HBL FCLMAA20211180 and the vessel name X PRESS JERSEY V-20010 that surprisingly is not ONE Plus (Exhibit 10)

5. Provide documents reflecting your agreement with Respondents for the transportation of your cargo, including emails, if available.

**CA5.** As explained in CA2., the agreement for the transportation of our cargo was not with the Respondents Chris Phillips and Paul Knott but rather with InXpress NY and implicitly with InXpress Americas. Documents reflecting the agreement between InXpress and Aitoh are indicated in

Exhibit 1 and 2, and de facto in the several e-mails exchanged between Aitoh and InXpress. Here are a few excerpts proving the role of Chris Phillips.

Sep 8, 2020 Beth Wild (Aitoh) to Chris Phillips

"I do want insurance on the freight from their door to mine." /Exhibit 21/

Oct 2, 2020 Chris Phillips to Beth Wild

"We need a POA on file to provide them with a brokerage. Please click the link below to complete the POA" /Exhibit 22/

Oct 1, 2020 Beth Wild to Kavya Madappa (BlueCat Paper) CC Chris Phillips:

"My freight broker (copied in on this message) and I are very confused."

"... I have not been given the right to look at the quote, and I have only said to please work with Chris on the shipment."

"... please copy Chris in the email, and please direct your staff to work with him on getting the product to me in Texas." /Exhibit 13/

Oct 12, 2020 Chris Phillips to Beth Wild: "Yes, Stuffing is loading. I have asked to the agent to confirm all is well" /Exhibit 11/

Dec 10, 2020 from G. Dinesh (Forin Container Line) to BlueCat Paper, Beth Wild, and Chris Phillips

"No cargo status yet from carrier.

Just inform your insurance company first regarding to the situation of the incident we're still waiting for the update from carrier" /Exhibit 20/

March 8, 2021 Chris Phillips to Beth Wild: "I talked with our us agent and have the attached claim form. We will claim a total loss, if you can jut fill out the product info we will do the rest." /Exhibit 6/

Apr 15, 2021 Chris Phillips to Beth Wild: "they are processing. I will make my weekly call Friday noon time and will update you asap." /Exhibit

Jan 11, 2022 Chris Phillips to Beth Wild: "I will get with the carrier and see what the heck is going on." /Exhibit 19/

As per Agreements /Exhibit 1, 2/ and as it is also evident from the emails exchanged between Aitoh and InXpress, Respondent Chris Phillis acted as an agent/intermediary/freight forward of InXpress that was responsible for arranging the cargo movement, dispatching, booking, and communicating with third parties, including filing a claim with the carrier on our behalf.

6. Provide a copy of response you state that you received when you filed a claim for cargo loss.

**CA 6)** Two years after the accident of the vessel ONE APUS, Aitoh started to suppose that Mr. Chris Phillips might have forgotten about claim or that he might have forgotten to submit the claim, or he was still waiting for some information in regard to the claim. /Exhibit 6/ We opted for the first one, but with no hope of getting any sort of information from Mr. Chris Phillips after two years. Therefore, at the beginning of 2022, we decide to trigger a sort of reaction re-submitting the claim directly with Ex-Freight. Ex-Fright replied almost immediately and after a quick clarification about the claim itself (Exhibit 14, 15, 16, 17), they denied (by phone) the claim for missing the deadline. Only at this point, Aitoh inferred that the original claim had never been submitted and only at this point we did escalate the issue to Mr. Paul Knott that we assumed was responsible for any negligence/misconduct of his franchisees including InXpress NY.

## 7. Supplemental evidence from the Claimant

It was not clear who was the Ocean Freight Forwarder: InXpress, Forin Container Line, ExFreight.

It is not even clear where was Aitoh's cargo on Nov 30<sup>th</sup> 2020.

Also the charges applied by InXpress to Aitoh were not properly itemized despite Aitoh requesting clarification via e-mail.

Pickup and loading of the vessel X-PRESS Jersey V20010 (not ONE APUS), was entirely handled by Foreign Line and BlueCat Paper (the shipper). /Exhibit 10, 11, 13/

All communication was via e-mail between BlueCat Paper, Forin Container Line, InXpress (Chris Phillips) and Aitoh (Beth Wild).

Forin Container Line refers in its Invoice FCCH/FY21/000755 to Bluecat as a Customer; there is no reference to InXpress or ExFreight. /Exhibit 10/

When the accident occurred on Nov 30<sup>th</sup> 2020, we received the Customer Advisor about the vessel ONE Plus from Foreign Line (not ExFreight). /Exhibit 20/

Claim was filed (supposedly) by InXpress with ExFreight. /Exhibit 17/

Forin Invoice date and ETD was Oct 14, 2020 (ETA Dec 13, 2020 to Los Angeles). According with Forin line invoice, cargo was 2,381lb (1,080 kg) - 2 pallets/craters and 3.276 cbm (Exhibit 10)

Chargers applied by InXpress NY to Aitoh were not clear as well. InXpress INV # 14431161UK26 dated 10/26/2024 reports 1,858 lb – 16 pieces and no information about the volume, and InXpress INV # 14431161UL16 dated 11/16/2024 2,487 lb – 2 pieces and no information about the volume /Exhibit 3, 4/.

Two days after the first invoice from InXpress, Aitoh requested by e-mail a breakdown of the invoice 14431161UK26 and declaration of cargo insurance. We never got a reply to this (as many others) e-mail /Exhibit 18, 21/

*WCG GROUP, LLC DBA AITOH CO.*



**June 14, 2024**

Carlo Galotto

*Managing Member at WCG Group, LLC*